

First principle: All about fundamental indices

Ajay Srinivasan on
global investing



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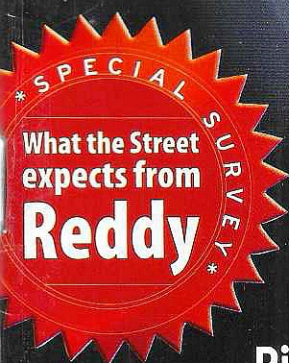
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After a sustained bull run across global equities for seven consecutive years, world markets seem to be retreating finally. Considering that Indian investors now have the option of investing abroad, we posed the question on how to approach the world market from an Indian investor's perspective to Ajay Srinivasan. Excerpts:

What is your outlook on equity markets across the world, particularly emerging markets and India?

If I look at the overall equity market there is still a reasonable amount of uncertainty. At this moment we are cautious on equity markets around the world. I think, going forward, if earnings growth rate holds up, equities will only become more attractive as valuations have come down.

Globally, I think emerging markets will continue their outperformance for the eighth consecutive year. There are multiple reasons. First and foremost, valuations are reasonable. We think, given the correction, emerging markets look reasonably priced. Second, the earning resilience shown by these markets.

Emerging markets' earnings are less susceptible to downside in the broader sense. I think there are good growth prospects though these economies will surely be somewhat impacted by the US slowdown, especially export-oriented economies and their equity markets. The last factor is the macro fundamentals such as strong GDP growth and the domestic consumption theme that supports emerging markets. Add to this the fact that emerging markets are not as leveraged as the US, the picture only looks brighter.

We also think emerging markets will be the beneficiary of cheap



PHOTOS: SANJIT KUNDU

ney which is being pumped by central banks around the world. We think the first six months of the year will be a bit of a challenge but as the market starts recovering, we think, from July onwards, the liquidity will be back in emerging markets.

We can see India has borne the brunt of risk aversion. As people are wary of taking risks, they cut back on India exposure. But I think given that FIIs hold 43 per cent of the market float in India, near-term performance is going to be driven by global factors, whether you like it or not. The main factor will be the relative valuation of our markets versus others. It is much cheaper than it used to be, but it is still not cheaper relative to other markets that FIIs look at.

The second factor specific to India is the softer global economy, elections and elections play a key role. On the flip side, the stimulus assumption specially from the last election will start kicking in from the second half of this year. So this is the time to look at fundamental bottom-up picking against the broad momentum-based themes.

that Indians are allowed to invest in global markets, do you think an option they must exercise?

Answer to this question lies in the option of risk-adjusted return. Risk-adjusted returns are a function of differential returns between the assets adjusted for currency and risks. Let me share with you the experience at three other markets that have opened up recently—Korea, Malaysia and Taiwan, wherein off-shore investing was allowed in the last decade. If you look at Korea and Malaysia, about 25 per cent to 30 per cent of the total mutual assets are in schemes that are off-shore. Korea

is slightly less than Malaysia. China is much like India where investment outside China has actually not picked up in a big way. I think to understand the reason behind this one must look at either the Korean or the Indian example.

Korea. In the initial phase the domestic market was strong, so the investors did not think of investing outside the country.

Subsequently these economies, particularly Korea, went through a period of consolidation and we saw a decline in investor interest in markets

outside Korea. China and India were two beneficiaries of this movement of capital. The yuan started depreciating, so did the ringgit. However, the minute both the currencies started appreciating people pulled back because they found a large part of their returns eaten up. So we actually saw a large period of lull, followed by a sudden increase in investment and then a slowdown again. Now China is going through the same phase. Chinese investing outside the country has not picked up because they find home markets still attractive.

If one were to consider other markets for the sake of diversification, what would you recommend?

When you are looking to diversify you have to look at two factors. First, look at the correlation between the markets. If the market is highly correlated to the one that you have already invested into, then you won't get the benefit of diversification.

The second factor is the attractiveness of the market itself. At the end of the day, if you are investing in a market that is not going anywhere but it is negatively correlated to India then you may not necessarily gain anything by investing in that market. So you got to look at both these things. Keeping these two factors in mind, there are three interesting markets at this point in time.

Within Asia, Taiwan is interesting given the recent elections, plus the

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country's focus on high-end technology, which has been an underperforming sector for a long time now. On the flip side, though, is the Taiwanese dependence on exports. In Asia, Korea is the other interesting market. In Latin America, I personally like Brazil and Mexico and I think both of these

are big beneficiaries of what is happening around the world.

Sobroadlythesearethreemarketsthat look interesting from a diversification point of view, but then Indians do not have that much access to these markets today.

When global liquidity is driving equity markets, does international equity investing offer true geo-political diversification?

The correlation between markets is really interesting. If you look at the highs of the markets around the world

Ajay Srinivasan

AGE: 44

EDUCATION: Ajay holds a BA with Honours in Economics from St Stephens College, University of Delhi and an MBA from the Indian Institute of Management, Ahmedabad.

CAREER:

1987: Srinivasan was hired by ICICI while still a student at the Indian Institute of Management, Ahmedabad. He spent four years at ICICI, primarily in project appraisal, before moving to ITC. He managed ITC's in-house funds for a while before he got his first big break setting up ITC's brokerage business.

1998: Joined Prudential as managing director of Pru-ICICI, Prudential's Indian fund management joint venture with ICICI Bank. As a member of Prudential Corporation Asia's board, Ajay also oversaw the development of Prudential's retirement business in Asia.

2007: In July 2007, he was appointed as chief executive, financial services and director, corporate strategy and business development at the Aditya Birla Group. In his role as chief executive, financial services, he sets the strategic direction for the group's financial services business

since October 2007, the MSCI World index lost about 15 per cent and the MSCI Emerging Market index lost about 17 per cent and the weekly correlation stood at 0.83, which indicates a fair high degree of correlation.

Basically, markets are very broad and have been moving similarly so far and, therefore, financial de-coupling is actually not happening. I think that's the first point and, therefore, diversification at least on the broad categories doesn't seem to have happened. But there are individual markets where you could find a fair amount of difference.

For instance, there is increased correlation between India and Hong Kong over the last three years. The correlation with China over this period reduced and now we have almost no correlation with the Chinese markets. So for Indian investors, China may be a good place to look at just from a correlation point of view.

But while de-coupling in financial market is not happening, I think eco-